at common law carrying the right to jury trial at the time the Seventh Amendment was adopted.[2]

The common law refused, however, to permit stockholders to call corporate managers to account in actions at law. The possibilities for abuse, thus presented, were not ignored by corporate officers and directors. Early in the 19th century, equity provided relief both in this country and in England. Without detailing these developments,[3] it suffices to say that the remedy in this country, first dealt with by this Court in *Dodge* v. *Woolsey*, 18 How. 331 (1856), provided redress not only against faithless officers and directors but also against third parties who had damaged or threatened the corporate properties and whom the corporation through its managers refused to pursue. The remedy made available in equity was the derivative suit, viewed in this country as a suit to enforce a *corporate* cause of action against officers, directors, and third parties. As elaborated in the cases, one precondition for the suit was a valid claim on which the corporation could have sued; another was that the corporation itself had refused to proceed after suitable demand, unless excused by extraordinary conditions.[4] Thus the dual nature of the stockholder's action: first,

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[2] 1 W. Blackstone, Commentaries *475; cf. *Bank of Columbia* v. *Patterson's Adm'r*, 7 Cranch 299 (1813); *Bank of Kentucky* v. *Wister*, 2 Pet. 318 (1829).

[3] Prunty, The Shareholders' Derivative Suit: Notes on Its Derivation, 32 N. Y. U. L. Rev. 980 (1957), treats the development of the equitable remedy.

[4] *Delaware & Hudson Co.* v. *Albany & S. R. Co.*, 213 U. S. 435 (1909); *Doctor* v. *Harrington*, 196 U. S. 579 (1905); *Quincy* v. *Steel*, 120 U. S. 241 (1887); *Hawes* v. *Oakland*, 104 U. S. 450 (1882). Soon after *Hawes* v. *Oakland*, *supra*, the preconditions to a shareholder's suit were promulgated as Equity Rule 94, 104 U. S. IX, which became Equity Rule 27, 226 U. S. 656 (1912), then Fed. Rule Civ. Proc. 23 (b), 308 U. S. 690 (1938), and is now Fed. Rule Civ. Proc. 23.1, 383 U. S. 1050 (1966).